Statistics

Table 23.2 shows general statistics.

Number found. I found diamonds starting in September 1991 through October 2019 in 419 stocks. Not all stocks covered the entire period, and some no longer trade. After removing 119 bear market cubic zirconium (too few to report on), I was left with 477 bull market patterns. That's not a lot of samples. With just 126 breaking out downward, it suggests the low sample count may be the reason for the good performance of this chart pattern. *Hmm*. Something to ponder.

Reversal (R), continuation (C) occurrence. Because price must enter the diamond from the top (trending down, by definition), an upward breakout means it's a reversal. Downward breakouts act as continuation patterns.

Average rise or decline. The average rise is below the 42% we see for most other chart pattern types, but the average decline is higher than the 15% loss for other chart pattern types (hence the number-one performance rank highlighted in the Results Snapshot at chapter start).

Standard & Poor's 500 change. I measured the performance of the index from the date of the diamond's breakout to the ultimate high or low. If you think that the market trend helps a pattern's post-breakout performance, then the move in the index did just that. A rising tide lifts all boats in a rising market and you hear a giant sucking sound in a falling market.

Days to ultimate high or low. I measured the velocity from price rising 39% in 182 days and compared that to a 19% drop in 40 days. Result: The drop is 2.2 times as fast as the rise. Neat, huh?

How many change trend? I like to see values above 50% for this item. Upward breakouts frequently see patterns with that kind of performance (in this case, 56% of diamonds with upward breakouts see price rise more than 20% after the breakout). The 39% seeing price drop more than 20% after a downward breakout is quite good, too. In fact, it's probably better than good (the average for other chart pattern types is 28%, so yes, diamonds do particularly well).